

ahead and sow the seeds for something to benefit the balance sheet tomorrow.”

Prasad says L&T is an institutionally owned and professionally managed company. “Understandably, capital allocation decisions are made with more discipline and less empire-building instinct. L&T has been prompt in getting out of businesses that do not meet return thresholds, which is not something you see often in Indian conglomerates.”

NEW FORAYS

Various factors determine the areas L&T enters. “The company must grow where the country is growing,” says Subrahmanyan. Take AI. “I think it is an imperious tool and one who does not use it will get lost. We better get on to it as early as possible,” he says. L&T has a programme that trains staff across businesses on AI; Subrahmanyan has also attended the training. “These are changing times, and if you don’t adapt, you will be left behind.”

L&T’s IT businesses have been sharpening their AI skills in line with what the clients demand. Subrahmanyan calls it “transformational,” before stating that data centres has been a strategic foray. It was one of the businesses the company incubated. “We did not want to be a simple co-location data centre and wanted a play in cloud services,” he says. In late 2024, L&T announced that it would pick up 21% of E2E Networks. “They are into deep view cloud services and we use that extensively.” Earlier this year, L&T announced it was teaming up with Nvidia to build India’s largest gigawatt-scale AI factory.

There is no paucity of new ideas for L&T. In case of semiconductors, work on design for chips and modules was already being done.

In defence, L&T operates in naval systems (shipbuilding, submarines), land systems (includes K-9 Vajra-T, light tanks) and electronics (such as high-power radar and close-in weapon systems).

Prasad says L&T typically moves into business adjacencies that can plug future gaps. “The decisions are almost never opportunistic and determined by a broader

TECH FOCUS

01 **Presence across multiple businesses gives L&T an advantage**

02 **L&T is the fifth-largest projects company in the world and could continue to grow on a large base**

03 **It sits at the intersection of two big themes – physical infrastructure and digital**

04 **New forays include data centres and chips, where the company sees big profits**



long-term plan that assists growth and return ratios. The entry into power sector EPC, defence manufacturing or shipbuilding has largely been an extension of its core engineering and project management expertise,” he says. Likewise, IT services, in his opinion, was driven by the recognition that digital engineering and embedded systems were becoming integral to physical infrastructure, a domain where L&T excelled.

The shift towards becoming the builder of India’s 21st century infrastructure is underway. “It’s not just about roads and metro rail projects but AI factories, hydrogen plants and chip design capability. It is logical for leaders in these industries to enter and expand their presence through partnerships with companies such as L&T,” says Prasad.

The world is amid disruptions that seemed unimaginable a couple of years ago. Be it business or geopolitics, organisations have to brace themselves for a future that will push their resilience to the limit. It is no different for L&T. A Motilal Oswal Financial Services report on L&T in early March outlines headwinds in two areas—the company’s international revenue (West Asia order book if big) and the IT subsidiary’s valuation getting impacted by the AI-led disruption.

L&T has the scale and prowess to become even larger. Subrahmanyan is banking, among other things, on technology to get the best out of the opportunities. “We are a technology company and people like me understand it, relish it and are soaked in it. We understand a bit of business too,” he says, adding that L&T is in “a sweet spot.” The positives are a stable government, a conducive business environment and reform of several laws. “These are big things and we must take advantage of all of them. The situation is in our favour, and we just have to get to work,” sums up Subrahmanyan. In his own way, he reflects a quiet confidence, matched by determination—both tremendously handy skills to possess today. **BT**

@krishnagopalan